

Stepping on the Gas

Even as talks on Iran-Pakistan-India pipeline speed up, thorny issues remain

There is light at the end of the tunnel for the Iran-Pakistan-India pipeline that has remained a pipedream for almost 15 years. With President Ahmadinejad's visit, all agreements and pending issues—like the differences over the transit fees to be charged by Pakistan for the gas to be transported through its territory to India—are expected to be finalised within 45 days and given to the leadership of the three countries.

Pricing became a contentious issue after the UPA Government came to power. Since India and Pakistan would need approximately 200 million standard cubic meters of gas daily, India thought Iran should offer a special price for such a large order. Petroleum Minister Murli Deora feels the long-term nature of the sales contract would allow a price "around the \$5 per one MBTU" levels. "We are working it out now. A price of \$6 per one MBTU is definitely too high," he observed. ONGC gets a price equivalent to \$1.95 per MBTU. It gets Rs 3.2 per cubic meters for gas produced from fields given to it on nomination basis.

Then there is the thorny issue of transit fee. Islamabad has sought 10 per cent of the gas price as transit fee to deliver the gas at the Indian border as well as taxes and other expenses. There is also the worry over escalating costs and time lag with the proposed 2,775-km project expected to take three to five years to complete and estimated in 2006 itself to cost \$7 billion. A breakthrough in the talks is an urgency with India falling short of its future energy requirements. With 400 million cubic meters of gas per day going to be needed by 2025, up from 90 million cubic meters in 2005, the imperative of securing an assured supply cannot be understated.

by Nivedita Mukherjee



SORTING OUT: Deora (left) with his Pakistani counterpart Khawaja Asif

for later this year, and a general election next year.

The Iranian President's evening in Delhi did lend some positive push to the long-pending Iran-Pakistan-India gas pipeline project with the former mayor of Tehran saying that the three countries would conclude the discussions to take the \$7-billion project forward. Talking in chaste Persian through an interpreter, Ahmadinejad called it the "peace pipeline" and proposed to Prime Minister Manmohan Singh that the ministers of all the three countries could sort out outstanding issues within

the next 45 days. The project that is to supply natural gas from the Persian Gulf has been pending finalisation for more than four years because of differences over cost issues. New Delhi had been keeping away from trilateral talks on the project since mid-2007 saying it wanted to settle transit fee issues with Islamabad first (see box).

During the talks, which drifted from the usual format of one-on-one to strictly official delegation-level parleys, Manmohan told the Iranian leader that

while India considered Iran as a factor of stability in the Middle East, it needed to engage with the international community and resolve the current imbroglio on nuclear enrichment through dialogue. The message was loud and clear that while India supported Iran's right for a civilian nuclear programme, it had to let the International Atomic Energy Agency authenticate its claims that it was only running a civilian nuclear programme. Manmohan's advice also stemmed from the fact that having a trigger-happy leader holding the nuclear button was a direct threat to the security of the world, and India could ill-afford to have a nuclear Iran in its strategic neighbourhood. Ahmadinejad then took centre-stage with his US bashing and suggested that the end of America was imminent, leaving Manmohan and his delegation speechless.

Iran is important for India's energy security and India's second biggest oil supplier with import of 14 million tonne of crude oil. Besides this, it is also key to stability in Afghanistan where India has huge strategic stakes. For India, the visit was crucial as Iran is an important transit partner that allows entry of Indian goods to Afghanistan and Central Asia. Iran has also helped India establish a strategic toehold in Afghanistan by helping its reconstruction diplomacy, by allowing transit through Bandar Abbas port. While New Delhi refrained from bringing out difficult issues from the closet, it did express its disappointment at the slow progress on the construction of Chahbahar port, which would allow India to use the Zaranj-Delaram road in Afghanistan. Built by India, the road would cut its transit time of supplying goods to Central Asia and Afghanistan. Boosting the bilateral trade also figured in the talks and the two leaders agreed to set a target of \$30 billion from the current \$10 billion.

The visit assumes significance as New Delhi does not want the Middle East to become a conflict zone again and, therefore, would want Iran to exercise restraint and abide by its international commitments as a member of the Nuclear Non-Proliferation Treaty. For now, India can only offer some friendly advice to the Iranian Government not to push the envelope. ■